ECON7200 Central Bank Report

Name: Junyao Li

Student ID: 45059447

Word count: 1600

Introduction

The central bank report is about the macroeconomic policies of the Federal Reserve System from 2015 to 2025. The report is focused on the Fed's macroeconomic policy actions and its responses to a major economic crisis between 2015 and 2025. The central bank report included the overview and background of the Fed's macroeconomic policy actions in the last 10 years. The report explained the Fed's policies and actions in response to the economic crisis caused by COVID-19 pandemic shock. The report also contained an evaluation of the Fed's responses and actions to the pandemic shock based on relevant research evidence and theories.

Background

The Central Bank of the United States is the Federal Reserve System (the Fed). According to the Federal Reserve System (2025) they set a target range for the federal funds rate. The policy rate is the interest rate for banks overnight borrowing. The Fed set the interest rate target range through their monetary policy decisions. The changes in the policy rate target range can indirectly affect the economic activity and inflation rate. The Fed (2024) said one of the aims of their monetary policy decisions is to keep the inflation rate stable and low. The Fed aims to keep the inflation rate at 2 percent in the long run. The Fed (n.d.) stated if the economic activity is weak or the inflation rate is too low the Fed decreases the interest rate target range. If the economy is overheating or the inflation rate is high the Fed increases the policy rate target range. A decrease in the interest rate represents an expansionary monetary policy. An increase in the policy rate reflects a contractionary monetary policy. The real GDP growth rate is an important indicator for central banks to measure the overall health of the economic activity.

Overview

The Fed's macroeconomic policy actions depend on the different situations of the U.S. economy during the last 10 years. The Fed faced the recovery after the 2008 global financial crisis, the COVID-19 pandemic shock and the recovery after the pandemic shock from 2015 to 2025. Before 2015 the U.S. experienced the global financial crisis from 2007. The Fed implemented a loose monetary policy to respond to the financial crisis. The Fed decreased the policy target range from 2007 to 2008. The Fed (n.d.) kept the federal funds rate at the target range of 0% - 0.25% from December 2008 to November 2015. From December 2015 the Fed (2016) increased the interest rate target range to 0.25% - 0.5%. This action represented the Fed starting normal macroeconomic policy actions after the financial crisis. The Fed continued to increase the policy rate target range to 2.25% - 2.5% until June 2019.

According to the International Monetary Fund (IMF) (n.d.) the real GDP growth rate of the U.S. was stable at around 2% to 3% between 2015 and 2019. The IMF also reported the inflation rate of the U.S. was 0.1% in 2015. The inflation rate increased from 1.3% to about 2% from 2016 to 2019. The inflation rate was close to the Fed's target of 2% inflation. The world experienced the pandemic shock from 2020. According to the IMF (n.d.) the real GDP growth rate of the U.S. was -2.1% in 2020. The real GDP growth rate increased to 6.2% in 2021. The real GDP growth rate was about 3% from 2022 to 2025. The IMF stated the inflation rate increased from 1.3% to 8% between 2020 and 2022. The inflation rate decreased to 4.1% in 2023. From 2024 the inflation rate continued to decrease to about 3%. The Fed (2020) reduced the policy rate to the target range of 1.5% - 1.75% over the second half of 2019. The Fed (2020) decreased the policy rate target range to 0% - 0.25% to face the pandemic shock. The Fed (2021) kept the policy rate at the target range of 0% to 0.25% to support the economic recovery in 2021. The Fed implemented loose monetary policy to face the negative shock from 2020. The Fed (2022) increased the policy rate target range to 1.5% - 1.75% to face the inflation pressures from 2022. The Fed (2023) continued to increase the interest rate target range to 5.25% - 5.5% to respond to high inflation in 2023. The Fed implemented tight monetary policy to face high inflation from 2022. The Fed (n.d.) kept the interest rate at the target range of 5.25% - 5.5% from July 2023 to July 2024. The Fed decreased the policy rate target range to 4.25% - 4.5% over the second half of 2024. The Fed reduced the policy rate target range to 4% - 4.25% in September 2025.

The Fed (2025) aims to keep the inflation rate at average 2 percent in the long run. The Fed's monetary policy actions aim to achieve the 2 percent inflation target. They think the 2 percent inflation rate can help keep price stability. The Fed's policy actions show their strong ability to respond quickly to different economic situations in the last 10 years. The Fed reduced the interest rate quickly at the beginning of the pandemic shock in 2020. They also raised the policy rate quickly to face high inflation from 2022. The Fed's monetary policies in the last decade are good applications of New Keynesian theory. Their monetary policy actions are good examples for other large open economies to learn. The Fed shows a strong ability to face negative shocks and keep the economy stable over the last 10 years.

Crisis

The COVID-19 pandemic not only affected people's health but also caused a major economic crisis. According to the IMF (n.d.) the real GDP growth rate of the U.S. was -2.1% in 2020. The Fed implemented a loose monetary policy to face the economic crisis caused by the pandemic shock from 2020. The Fed (2020) decreased the policy rate target range from 1.5% - 1.75% to 0% - 0.25% to face the negative shock in March 2020. The IMF (2021) said the economic support restored the economy quickly. The Fed's actions were effective for responding to the economic crisis and supporting the recovery. The real GDP growth rate increased to 6.2% in 2021. The real GDP growth rate was about 3% from 2022 to 2025. The IMF (2022) stated the U.S. economy has experienced a strong recovery from the pandemic shock. But the low policy rate target range led to high inflation. The IMF stated the inflation rate increased from 1.3% to 8% between 2020 and 2022. The Fed implemented a tight monetary policy to respond to the high inflation from 2022. The Fed (n.d.) increased the interest rate target range to 5.25% - 5.5% between 2022 and 2023. The inflation rate decreased to 4.1% in 2023. From 2024 the inflation rate continued to decrease to about 3%. The Fed's tight monetary policy helped to reduce the high inflation and get close to the 2% inflation target. The Fed shows its strong ability to face negative shock and keep the economy stable in this economic crisis.

Evaluation

The Fed (2020) decreased the policy rate target range from 2.25% - 2.5% to 1.5% - 1.75% over the second half of 2019. The Fed (2019) noted the actions were based on the uncertain economic outlook and aimed to keep expansion and inflation close to the 2% target. The IMF (2019) said the U.S. economy was in the longest economic expansion in its history. Before the crisis, the Fed's policy responses aimed to keep the economy stable after the global financial crisis.

The Fed implemented a loose monetary policy to face the pandemic shock. The Fed decreased the policy rate quickly at the beginning of the pandemic and kept the policy rate target range at 0% - 0.25% for about two years. The IMF (2020) stated the COVID-19 pandemic stopped the longest economic expansion in U.S. history. The IMF (2021) said the economic support restored the economy quickly. The Fed's actions were effective for responding to the economic crisis and supporting the recovery. The IMF (2022) stated the U.S. economy has experienced a strong recovery from the pandemic shock. The U.S. GDP returned to near the level before the pandemic over two years after the pandemic shock. During the crisis, the Fed's policy responses were effective and quick. The Fed's responses helped cushion the negative shock. The Fed's responses during the crisis were good applications of New Keynesian theory. The Fed shows a strong ability to face the economic crisis and keep economic activity stable.

The low policy rate caused high inflation. The Fed (2022) noted the inflation rate increased to the highest level in about 40 years. The Fed implemented a tight monetary policy to respond to high inflation. The Fed increased interest rates to 5.25% - 5.5% between 2022 and 2023. The IMF (2023) stated the U.S. economic activity kept well under the tight monetary policy background. The IMF (2024) reported the U.S economic performance was remarkable over the past few years. The U.S. was the only economy between the G20 whose real GDP level is above the pre-pandemic expected level. The strength U.S economic performance brought positive effects to the world economy. After the crisis, the economy faced high inflation caused by low interest rates. The Fed's policy responses were effective and quick. The Fed's responses helped reduce the inflation rate to near 2% target and kept good economic performance. The Fed shows a strong ability to recover the economy after negative shocks.

Conclusion

The Federal Reserve System shows a strong ability to face a major economic crisis and keep the economy stable over the last 10 years. The Fed's monetary policy actions in the last decade were good applications of New Keynesian theory. The Fed's monetary policies to face the economic crisis are good examples for other large open economies to learn.

Reference List

Board of Governors of the Federal Reserve System. (2016, June 21). *Monetary Policy Report.* https://www.federalreserve.gov/monetarypolicy/mpr_2016_0621_summary.htm

Board of Governors of the Federal Reserve System. (2019). *Monetary Policy Report – July 2019.* https://www.federalreserve.gov/monetarypolicy/2019-07-mpr-summary.htm

Board of Governors of the Federal Reserve System. (2020). *Monetary Policy Report – February 2020.* https://www.federalreserve.gov/monetarypolicy/2020-02-mpr-summary.htm

Board of Governors of the Federal Reserve System. (2020). *Monetary Policy Report – June 2020.* https://www.federalreserve.gov/monetarypolicy/2020-06-mpr-summary.htm

Board of Governors of the Federal Reserve System. (2021, July 14). *Monetary Policy Report – July 2021.* https://www.federalreserve.gov/monetarypolicy/2021-07-mpr-summary.htm

Board of Governors of the Federal Reserve System. (2022, June 21). *Monetary Policy Report – June 2022.* https://www.federalreserve.gov/monetarypolicy/2022-06-mpr-summary.htm

Board of Governors of the Federal Reserve System. (2023, June 20). *Monetary Policy*

Report – June 2023. https://www.federalreserve.gov/monetarypolicy/2023-06-mpr-summary.htm

Board of Governors of the Federal Reserve System. (2024, August 02). *Economy at a Glance - Inflation (PCE).* https://www.federalreserve.gov/economy-at-a-glance-inflation-pce.htm

Board of Governors of the Federal Reserve System. (2025, June 23). *Monetary Policy Report – June 2025.* https://www.federalreserve.gov/monetarypolicy/2025-06-mpr-statement.htm

Board of Governors of the Federal Reserve System. (2025, September 17). *Economy at a Glance - Policy Rate.* https://www.federalreserve.gov/economy-at-a-glance-policy-rate.htm

Board of Governors of the Federal Reserve System. (2025, September 17). *Policy Tools.* https://www.federalreserve.gov/monetarypolicy/openmarket.htm

Board of Governors of the Federal Reserve System. (n.d.). *The Fed Explained – Monetary Policy.* https://www.federalreserve.gov/aboutthefed/fedexplained/monetary-policy.htm

International Monetary Fund. (n.d.). *United States.* https://www.imf.org/en/countries/usa?selectedfilters=Article%20IV%20Staff%20Reports#whatsnew

International Monetary Fund. (2019). *United States: 2019 Article IV Consultation - Press Release; Staff Report; and Statement by the Executive Director for the United States.* https://www.imf.org/en/Publications/CR/Issues/2019/06/24/United-States-2019-Article-IV-Consultation-Press-Release-Staff-Report-and-Statement-by-the-47019

International Monetary Fund. (2020). *United States: 2020 Article IV Consultation-Press Release; Staff Report; and Statement by the Executive Director for United States.* https://www.imf.org/en/Publications/CR/Issues/2020/08/07/United-States-2020-Article-IV-Consultation-Press-Release-Staff-Report-and-Statement-by-the-49650

International Monetary Fund. (2021). *United States: 2021 Article IV Consultation-Press Release; Staff Report; and Statement by the Executive Director for the United States.* https://www.imf.org/en/Publications/CR/Issues/2021/07/22/United-States-2021-Article-IV-Consultation-Press-Release-Staff-Report-and-Statement-by-the-462540

International Monetary Fund. (2022). *United States: 2022 Article IV Consultation-Press Release; Staff Report; and Statement by the Executive Director for the United States.* https://www.imf.org/en/Publications/CR/Issues/2022/07/12/United-States-

2022-Article-IV-Consultation-Press-Release-Staff-Report-and-Statement-by-the-520659

International Monetary Fund. (2023). *United States: 2023 Article IV Consultation-Press Release; Staff Report; and Statement by the Executive Director for the United States.* https://www.imf.org/en/Publications/CR/Issues/2023/06/14/United-States-2023-Article-IV-Consultation-Press-Release-Staff-Report-and-Statement-by-the-534755

International Monetary Fund. (2024). *United States: 2024 Article IV Consultation-Press Release; Staff Report; and Statement by the Executive Director for the United States.* https://www.imf.org/en/Publications/CR/Issues/2024/07/18/United-States-2024-Article-IV-Consultation-Press-Release-Staff-Report-and-Statement-by-the-552100